

An LKYSPP Economic Diplomacy Initiative: Navigating a new Global Economy of Geoeconomics and Strategic Interdependence

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This proposal describes the justification and work program for an Economic Diplomacy Initiative (EDI) at the Lee Kuan Yew School of Public Policy (LKYSPP). The initiative will entail academic research, practitioner participation, and public engagement. If successful, EDI will position the School as world leader in shaping small-state perspective on the new international economics of geoeconomics and strategic interdependence.

Three propositions sit at the center of this EDI project:

1. Small states face a world order shifting from rules-based multilateralism to geoeconomics and strategic interdependence. This transition is occurring in both geopolitics and international economic relations.
2. Economic diplomacy, i.e., economic statecraft for small states, can help inform small-state strategies as world order continues to shift. Economic diplomacy is the collection of strategies small states can use to contend with the externalities and targeted effects of major powers' actions. In contrast, geoeconomics or economic statecraft is when major powers use economic instruments to advance their geopolitical objectives.
3. A G-minus, multilateral-enough, incentive-compatible order with flexible topology is among possible environments where small states can continue to benefit from trade and openness but, at the same time, guard against geoeconomics' negative impacts.

These three propositions initiate EDI in the form of core working hypotheses but the planned work in the project is to examine more broadly their validity and relevance through historical and statistical analyses and in case studies. EDI research will develop these core propositions into concrete practical principles for policy implementation. This will allow EDI to develop rigorous foundation for economic diplomacy scholarship more broadly, and to build a robust, practical handbook for practitioner work.

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1 Introduction

Small open economies face a complex new challenge: how to maintain prosperity and economic security in an international system increasingly fragmented by mercantilism, cross-border cooperation failure, and power-driven disagreements between nation states.

Since the end of the Second World War, world order—the rules, conventions, and norms for how nations engage with one another—has featured multilateralism, globalization, and international law. Today, world order is increasingly tentative and contested, disrupted by shocks that mix natural events and foreign state intentionality. World order is at a point of inflection in transition from rules-based multilateralism to geoeconomics. Cross-border interdependence was once thought to make the global economy more efficient through minimising excessive duplication. Now it is viewed as strategic weakness, weaponizable to become chokepoint and vulnerability, and therefore a threat to national security.

If, for the past 80 years, economic efficiency and comparative advantage were the principles that organised the workings of the international economic system, then, going forwards, the new guideposts will include resilience and economic security. Both the goals for international policymaking and the environment within which that policymaking operates can be expected to evolve rapidly and in unexpected directions. In this shifting global economy, change will be systemic and large-scale. Small states—Singapore prominent among them—will need new strategies for economic prosperity, stability, and sustainability.²

In this new international environment, inward-facing domestic economic policies that strengthen resilience and enhance productivity will continue to matter. But those policies by themselves will not guarantee economic success. External-facing small-state strategies will need to move beyond passive rules-compliance to encompass proactive, multi-faceted strategies that include mitigation, norm-setting, and working within strategic coalitions and networks. No longer able to count on rules-based multilateralism, small-states' success will

²By **small state** I mean any state that, acting alone, cannot reshape the international system. These states see themselves as following rules, not as having the capacity to unilaterally shape norms (Waltz, 1979, Ch. 4, p. 72). This is the same definition as in economics, when consumers and firms are said to be small when they cannot unilaterally change market outcomes. In economic analysis, in equilibrium all consumers and firms do obviously help determine market-clearing prices. But each itself is a price-taker. In this reasoning, the collection of small states includes what some observers call middle powers. For the analysis here, what matters is not the difference between genuinely small states and middle powers but that they all behave as norm-takers or price-takers. It is, thus, not helpful to try and define small states and middle powers in terms of strict numerical thresholds of, say, populations or national incomes. What matters is how they behave.

rely instead on navigating an international landscape while balancing economic interests and geopolitical positioning. More than this, small states must raise ambition and become active architects of their own destiny by helping to reshape international norms and standards.

Economic Diplomacy—the small-states counterpart of economic statecraft—encapsulates this new dimension in small states’ economic policymaking. Economic diplomacy differs from geoeconomics or economic statecraft as commonly understood. Geoeconomics or economic statecraft is how major powers use economic instruments to advance their geopolitical goals. Economic diplomacy, in contrast, is about how small states operate in such a world when unilaterally they cannot affect geopolitical outcomes.

The objective of the EDI project at LKYSPP is to discover and disseminate insight, knowledge, and practice on Economic Diplomacy. To do this the concrete medium-term outcome for EDI is a Conference volume, six high-quality top-journal article publications, and a series of practitioner-oriented workshops. This sequence will, in effect, provide an Economic Diplomacy handbook for small states. Subsequent academic research and practitioner insights, beyond the next half-decade, will build on lessons that emerge from this current project.

The research, conference organising, writing, and publication to achieve the projected medium-term outcome will take four–five years. Promoting the lessons in this Economic Diplomacy handbook for use by officials will start from year four, when the research and writing will be primarily completed. The research is envisioned to be undertaken by the Principal Investigator, two Co-Investigators, and up to a half-dozen collaborators based in Singapore, Asia, and the Transatlantic region. Over the course of these first four years EDI will also engage another half-dozen top scholars from around the world in Economic Diplomacy conferences to ensure intellectual rigour in the ideas being developed. Practitioner engagement will draw in Singapore and regional ministry officials in the first instance, but then also representatives from private-sector business, financial, and consulting industries, and trade and industry practitioners from across Asia and the Transatlantic region.

2 LKYSPP Economics: Institutional related research

Economics research at LKYSPP is driven primarily by individual faculty’s research agenda. It is not surprising, therefore, that including work in cognate fields the School features a broad range of research across a wide variety of areas: behavioural economics, development, environment and sustainability, health, international finance, public finance, urban, and trade. Consistent with economics research internationally, the empirical analysis in these areas prioritizes microe-

conomic (individual-agent) behaviour, data analytics emphasising causality, and datasets that are ever more novel and extensive, so that causal mechanisms can be more directly and rigorously examined.

But economic research, more generally, also looks at overarching aggregate outcomes. Examples include work on income inequality and social mobility, globalisation and peace, democracy and economic development, business cycles and monetary economics, exchange rate policy, economic growth, and economic security. The work proposed for EDI is an example of this, as EDI coverage is macroeconomic outcomes, cross-border national coordination (or its lack), national security, and comparison between, among other things, mercantilism and rules-based multilateralism. For such work, it cannot be new datasets, or ever larger numbers of individual-level observations, that form the basis for advancing either academic or policy debate: there is only one US-China trade deficit, only one Singapore GDP timeseries, only one measure of how widespread globalization is, only one number for the top 10% share of UK wealth, only one duration of a war, only one global imbalance, and so on. Except in special circumstances, the value added in research on aggregate outcomes does not come from the same drivers as that in more microeconomic, individual-level analysis. Thus EDI will not naturally fit in the work program for many of LKYSPP's economists, but will need to bring in additional researchers.

LKYSPP's political science and international relations scholars comprise a different part of the School's academic research that is close to EDI's focus. The Centre for Asia and Globalization (CAG) is an important part of the School's institutional landscape, and is a conduit for the School's geopolitics research, not least in recent and ongoing SSRC-TG projects. CAG has, moreover, built up applied economic expertise in research and practitioner engagement on ASEAN trade and regional resilience. The economics and international relations approaches at EDI and CAG respectively will make for natural and synergistic collaboration.

LKYSPP also has an excellent economics-based research centre in the Asia Competitiveness Institute (ACI). That centre's origins drew on Michael Porter's research on what he called competitive advantage. ACI early on attracted Singapore Ministry of Trade and Industry (MTI) support because that competitiveness approach promised a meso-level analysis, beyond micro- and macro-economics. ACI has expanded its remit to also study inflation and prices, labour markets, ASEAN, trade, and a range of other economic dimensions. Moreover, ACI's engagements with regional sub-national stakeholders—who continue to have great interest in competitiveness measurement—are highly valuable and should continue organically. What is described in this document, therefore, does not seek to replace ACI work but can naturally complement that research and engagement.

At the aggregate overarching level, competitiveness, like productivity, is pri-

marily about internal domestic development: enhancing internal structures heightens performance. Thus, domestic reform and productivity improvements are obviously good things. So too is improving geopolitical relations between nations, whether regionally or further afield. The question is how policymakers need to prioritize them relative to other concerns. Where are an economy's urgent policy needs, and how can our School's different lines of research synergistically come together?

3 Economics in world order: Historical background and concepts

To better assess the proposed research and practitioner engagement envisioned for EDI, it helps to set out historical background and concepts connecting world order and economic outcomes.

3.1 Rules-based multilateralism

LKYSPP's EDI will work under a maintained hypothesis that the economic performance of a small open economy has to be conditioned on how that state navigates world order. Geopolitical and technological forces now shifting the global landscape will only deepen this relationship. Thus, for economic success, policymakers need to appropriately prioritize engagement with driving forces that are international, aggregate, and institutional, balancing that against domestic challenges.

Globalisation is changing but observers disagree how. Some hypothesise that for a number of pivotal states, there will be a withdrawal into autarky. Other observers conjecture that, more generally, globalisation is not retreating but only mutating with specific varieties of re-globalisation emerging.

What can be clearly documented in the global economy is a shift from rules-based multilateralism to geoeconomics and strategic interdependence. The counterpart change in geopolitics and foreign policy reveals faultlines that take the form of disputes over sovereignty, territorial integrity, national security, and technological dominance. In international economics the shift is characterized by increased mercantilism, cross-border cooperation failures, and power-driven disagreements between nation states.

This new landscape contrasts with the previous international system which promoted multilateralism and globalisation. Global order of the past 80 years allowed mutually advantageous division of labour across nations. Individual states could focus on their own specific growth and sustainability challenges against a

stable background of open global markets and international rule of law. Systemic features in the international environment were understood to be determined and underwritten by major powers. Small-state policymakers could then afford to devote minimal attention to the global landscape, but instead just concentrate on strengthening their supply-side growth potential: structural reforms, technological innovation and adoption; and improvement in education, health, and infrastructure. In developing economies such supply-side measures are, of course, always valuable. But those policies earned especially high returns under rules-based order. Put briefly, economic efficiency and comparative advantage provided the overarching principles by which the global economy ran.

Small states benefited from being price- and norm-takers, holding the view that only major powers could change world order. This division of labour remained stable and productive as long as major powers found it gainful to support such a global architecture. But because that international system came with externalities and affected everyone simultaneously, it was also a global public good; and major powers' calculation of the gain and loss they derived from it could always switch around.

What specifically did that global architecture provide? Globalization meant ever more open markets and ever freer trade. Multilateralism meant a package of cross-national behaviours that included, in particular, three notable features: a level playing field where all nations were treated equally; commitment to peaceful dispute resolution; and cooperation when faced with common challenges. Each of these matters. A level playing field flattens the distribution of geopolitical power: since everyone is treated equally, scarce resources need not be expended on inefficient and costly displays of power. Peaceful dispute resolution elevates the significance of genuinely substantive issues over zero-sum exercises of might and aggression. Collaboration to address shared challenges makes the system more efficient, avoiding unnecessary duplication as each state contributes what it does best.

The past eight decades saw major powers and global and regional hegemons take on varying leadership roles in the international system through their assuming different responsibilities in underwriting rules-based order. This division of labour organised around a hierarchy of power, in turn centered on US unipolarity, was no bad thing: in the postwar era, all states found it in their interests to maintain the international system. World order was not just a global public good; it was incentive-compatible.

3.2 Geopolitical dynamics

Today, those background assumptions no longer apply. World order is shifting, not randomly, but in a specific direction. Cost-benefit calculations have

changed for those major powers that are able to underwrite the global architecture. Rather than continue to defend rules-based multilateral order, it is now more in their interest to practice economic statecraft. In this reckoning it is only a small step to go from passively no longer underwriting rules-based multilateralism, on the one hand, and, on the other, acting, with full intentionality, to advantage oneself using power asymmetry.

It is common to call such an international environment one where geopolitics has taken priority over economics. In this view geopolitics has disrupted rules-based order, a sensible rational economics-informed international system of globalization and multilateralism. An alternative hypothesis is that for the study of the international economic system neither geopolitics nor economics is causal for the other. Instead, both play critical and co-equal roles alongside one another. Such an alternative framing can, further, potentially help explain better the evolution in world order over longer-run historical experiences (Armstrong and Quah, 2026; Obstfeld, 2020, 2024; Quah, 2026b). Examining this causality and its effects on policy with more historical examples and case studies will be valuable for understanding and navigating the current shift in world order.

3.3 Economic security

One of the most important consequences of economic diplomacy thinking is the altered perspective it brings to economic security.

Economic security is the capacity of the economy to sustain societal well-being and prosperity against shocks and under adverse conditions. Societal well-being and prosperity include not just economic output and wealth but also autonomy, integrity, and resilience; Capacity refers to not just markets and exchanges, and factories and logistics, but also financial architecture, supply chains, energy grids, and technological infrastructure.

In the traditional view disruptions in the international environment are just shocks to the system like any other. Geoeconomic fragmentation, tariffs, export controls, and sanctions are akin to natural events such as crop failures, pandemics, tsunamis, earthquakes, or floods. One helpful and typical response is to proclaim strengthened commitment to deepen integration and increase trade openness, to improve supply chain resilience; and to increase diversification in foreign partnerships.

But precisely because these proposals treat geoeconomic shocks the same way as they do natural events, they cannot be as effective as responses that acknowledge how disruptions to the system can have different underlying character.³

³This applies as well to yet other policy discussions on security. Y. Khong and MacFarlane

Shocks that are natural events have no optimizing agent at the other end of the propagation mechanism: those shocks don't carry intentionality. Shocks that are geoeconomic do. Geoeconomics shocks might be targeted actions by adversarial states. Or they might be inadvertent, the spillover effects of an externality in an action by an unfriendly nation.

It is not just an academic exercise to understand better this difference. Clearer understanding on when intentionality arises and when it does not will help policymakers design better policies. It will help societies better predict the trajectory of the shocks against which they need economic security.

3.4 Economic statecraft

The word *statecraft* is used generally to denote the directed management of state affairs to achieve national objectives. This applies to all nations and so, both small states and Great Powers openly say they practice statecraft. Statecraft also comes with the idea that it is consistent with the norms and conventions of rules-based multilateral world order. Thus, statecraft in geopolitics, translated into economics, is just utility or profit maximisation subject to given prices and the rules of the marketplace.

Economic statecraft, by contrast, is typically understood to mean the actions of Great Powers for self-gain in a way that does not necessarily accord with rules-based order. Instead, some International Relations writing describe rules-based multilateralism as having encroached on the historical, power-based exercise of economic statecraft (Blackwill and Harris, 2016):

For the country's first 200 years, US policymakers regularly employed economic means to achieve strategic interests. But somewhere along the way, the US began to tell itself a different story about geoeconomics. Around the time of the Vietnam War, and on through the later stages of the Cold War, policymakers began to see economics as a realm with an authority and logic all its own, no longer subjugated to state power—and best kept protected from unseemly geopolitical incursions. International economic policymaking emerged as the near-exclusive province of economists and like-minded policymakers. No longer was it readily available to foreign policy practitioners as a means of working the US's geopolitical will in the world.

(2006) previously argued that UN policies on human security are more effective when they explicitly acknowledge the intentionality dimension on threats that societies face. Versions of this idea appear, although imperfectly, in the terms *anthropogenic hazards* and *complex emergencies*.

Thus, insightful recent research on international economic strategies, (e.g., Clayton, Maggiori, and Schreger, 2025) note how economic statecraft has been too long neglected. The need for such analysis applying modern economic tools is both urgent and considerable, given how both research and policymaking had previously taken as given the stability of the rules-based order, and how ongoing disruption in the international system becomes ever more pronounced.

3.5 Small States are not Great Powers. But Maybe They Don't Have to Be

A great deal of current technical economics research on geoeconomics take primarily a Great Power perspective: how major powers undertake actions in order to mold the global economy to their benefit.

In smaller nations, however, goal are more modest. If under rules-based multilateralism, small states found it optimal to be price- and norm-takers, best-response strategies are now different. One leading objective, for instance, is to avoid being collateral damage in the conflicts and actions of major powers. Another might be to acknowledge that the threat is not just of being caught up in negative externalities, but instead being potentially a direct target for action by an adversarial Great Power or even another small state. Without rules-based

Economic diplomacy, rather than economic statecraft, is a better descriptor of what smaller states should do. Smaller-state responses should not be just native tit-for-tat tariffs or retaliatory beggar-thy-neighbor actions that end up drawing the global economy into a Prisoners Dilemma or epic fail situation. Instead, economic diplomacy needs to be nuanced, strategic, and forward-looking. While remaining respectful of major powers, smaller-state economic diplomacy must strategically optimize its protagonist's well-being over the longer term.

This emphasis on smaller-states' perspective critically differentiates this initiative from the important literature recently emerging on economics and geopolitics. In that geoeconomics literature, the appropriate focus is on what hegemons or candidate hegemons do, with smaller or other states modeled in the background as only passively responding.⁴ One exception is Clayton, Maggiori, and Schreger (2026b), which has smaller states reacting but only in a very limited way as the focus—again, as with the others named here—is on what Great Powers do.

The traditional International Relations literature, of course, has long taken that same view, most notably in the often-cited Thucydides observation on how

⁴That important and growing literature includes Becko, Grossman, and Helpman (2025), Carvalho, Monte, and Ornelas (2025), Clayton, Maggiori, and Schreger (2026a,b), and Mattoo, Ruta, and Staiger (2025).

“the strong do what they will and the weak suffer what they must” (Strassler, 1996, 5.88, Book Five). It is not only in the domain of national security that such perspectives emerge. International Relations scholarship with clear connection to cross-national economic interaction (Farrell and Newman, 2019; Gowa and Mansfield, 1993, e.g., the “geographic patterns of trade” literature with roots in) provide great insight on what Great Powers do, but provide little perspective on the actions of smaller states.⁵ For economic diplomacy, in contrast, it is the agency and behaviour of smaller states that are of direct concern.

Obviously, the two—economic statecraft for Great Powers; economic diplomacy for all others—need to be studied jointly. In the work proposed here, they will. But at the same time sharp focus is important to highlight key issues in both analysis and policy recommendation. There is urgent need for ideas and concrete policy recommendations on economic diplomacy. Our belief is that the Lee Kuan Yew School of Public Policy can lead in this area for Singapore and other smaller states.

In LKYSPP’s EDI, therefore, our interest is to study how small states and others who are not Great Powers can use economic tools to build resilience against Great Power vicissitudes. Our objective is to provide research and policy engagement on a complementary challenge to that in economic statecraft: Rather than study how Great Powers can do better, we seek to study instead how small states should best respond to Great Power economic statecraft. We call this economic diplomacy, as opposed to economic statecraft. Put differently, our goal is not to help Great Powers do better; it is to help small states protect themselves.

Our proposed work seeks to help policymakers navigate a new permanently-disrupted international economic system where previous focus on supply-side enhancement no longer suffices to guarantee stability and prosperity. Without the elastic global demand afforded by globalization and multilateralism, improving one’s supply side no longer creates jobs and wealth; it raises unemployment. Small states need a new handbook for growth and development so that they can navigate a progressively fractured global economy.

⁵Tom Long’s work provides a significant exception. In Long (2017, 2022) he discusses how the traditional IR literature considers small states typically as only “seen through the lens of great-power geopolitics”. Great Powers are “system-determining”. But small states are “victims, proxies, or pawns. On their own, they appear insignificant.” That is, small states are “system-ineffectual”. Long discusses varieties of power that small states might exercise, including *derivative*, *collective*, or *particular-intrinsic* that can overturn the traditional view. Long’s ideas have economic translation that will be investigated in EDI work. But another approach, also included in ongoing EDI work, is that even small-state power is not the determining lens, but instead incentives are the critical determining variable (Quah, 2026d).

4 Analysis

This Section describes economic diplomacy, or economic statecraft for small states. Section 5 that follows will draw on questions raised here to describe a number of concrete EDI workpackages.

This Section is organised in two parts. Section 4.1 lays out a basic framework for smaller states in the changing international system, organized around three key propositions on the transition away from rules-based order. Building on this analysis Section 4.2 considers research and policy questions surrounding economic diplomacy. Some of these questions concern, in the language of decision theory and game theory, **best responses** by smaller states. Section 4.2 raises not just positive questions but also systemic normative ones: what better international systems might smaller states build or might endogenously emerge from current economic and geopolitical dynamics?

4.1 Smaller states in today's fragmenting rules-based order

First, the model of international economic relations of the last eight decades no longer functions.⁶ While that fact might be now obvious, clearer insight on *how* world order is changing can help guide states on how they can best navigate the evolving system. The previous model was founded on principles of multilateralism and international rule of law. Multilateralism provided a level playing field across nations, commitment to peaceful dispute resolution, and norms of cooperation when faced with common challenges.

These rules allowed smaller states such as Singapore, not just to survive, but to thrive. The research proposed here builds on the hypothesis that current disruptions to world order are due not only to exogenous shocks, but represent an endogenous buildup of tensions inherent in the system. Understanding this causality will help smaller states craft better, more enduring strategies.

Second, small states under-estimate their agency when they considers themselves merely price-takers. Certainly, smaller states don't have recourse to the same tools that Great Powers use for economic statecraft. Impact is obviously limited on smaller states' sanctions, trade weaponisation, and—except in very special circumstances—monopoly control of critical products. The research proposed here, however, calls attention to how being unable to draw on Great Power policy instruments is not synonymous with having no agency. Price-taker behaviour might well be optimal under a rules-based, multilateral order, but what

⁶This might seem to some observers as an over-statement, given that in 2025 three quarters of global trade continued to follow WTO-based MFN practice. At the same time, however, there is no question that disruptions to trade have escalated. By 2022 restrictions on international trade imposed by nations around the world had tripled as compared to 2019 (Georgieva, 2023).

are the boundaries on smaller-state strategies in a world order that no longer follows the rules of multilateralism? What objectives are attainable for smaller states in an international system changing in the manner we are describing?

Third, strategies can take two forms: those implemented unilaterally, on the one hand, and, on the other hand, those available to networks of like-minded members focused on specific sets of problem. What is their optimal mix? Networking strategies might be viewed as a version of plurilateralism or, alternatively, of systems characterized by variable geometry. Such networks might be regional or otherwise connected by common incentives, as geographically-defined regionalism is just a special form of shared interest. Unilateral and plurilateral strategies are importantly different, but both can be useful. Domestic reforms to improve one's economic performance call for a different set of policy discussions than leveraging networking to build incentive-compatible plurilateral organizations.

The three propositions just outlined will be key for the strategic discussion that follows.

International economic policymaking since the end of World War Two has, rightly, been conducted taking as given the international rules of the game. That understanding was conditioned on rules that included multilateralism—a level playing field, commitment to peaceful dispute resolution, a default modality of collaboration—and on international institutions of global governance that applied those rules. Building on these, national-level economic policymaking could be guided by principles of economic efficiency and comparative advantage.

Therefore, nations, especially those with their eye on the long-term, rightly focused economic policy-making on the supply side. Emerging economies piled resources into improving their people's health and national transportation and communications infrastructure. These are also always the right things to do—no rich economy has developed without having a healthy productive workforce and robust reliable transportation. But returns to such investments are particularly high when the international economic system operates under multilateralism. Political stability and international rule of law provide economic environments that make possible long-run growth and development. Globalization meant that for practically everything that every economy produced international demand was elastic. Thus, previously backwards economies successfully developed. This increased multipolarity in the world, in the process inadvertently drawing down the US's unipolar moment (Gaspar, Hagan, and Obstfeld, 2018; Ikenberry, 2005; Quah and Mahbubani, 2016). Great Powers, naturally, began to see a progressively unfavorable cost-benefit ratio to supporting the multilateral world order. Small states, although unable to draw on engines of growth in complexity (Hausmann, 2025) or economies of scale (Romer, 1986, 1990) nonetheless became the world's most successful economies (Quah, 2025d) under the stability and reas-

surance provided by multilateralism and international rule of law.

Today, however, multilateralism is on the wane and the global economy is fragmenting (e.g., Georgieva, 2023; Gopinath, 2024). The Great Powers that originally architected the multilateral system have found cost-benefit calculations undermining their earlier decision to support that system. When the Soviet Union was America's ideological adversary in the Cold War, the US found it advantageous to argue for the economic success afforded by open markets and free trade, given its opponent's position on these. As John F. Kennedy put it, "A vital expanding economy in the free world is a strong counter to the threat of the world Communist movement." Today America's adversary is China who, instead, ruthlessly and successfully leverages open markets and free trade. But even outside Great Power rivalry, as economic success spread around the world, US unipolarity diminished in different distinct dimensions. Ongoing gains in global growth became more widely distributed than before, no longer simply as a majority share to the world's leading power (Armstrong and Quah, 2026; Gaspar, Hagan, and Obstfeld, 2018; Quah, 2025b,e, 2026b,d,e).

Examining the arc of this argument more closely will be an important part of the research scholarship to be undertaken, as envisioned in this proposal. Importantly, there is of course a long-established line of reasoning that assumes the opposite causality, arguing instead that it is, not economic forces but instead the rise of geopolitics that has driven retreat from the economics of comparative advantage and efficiency (Becko, Grossman, and Helpman, 2025; Gowa and Mansfield, 1993; Mattoo, Ruta, and Staiger, 2025; Prasad, 2026, e.g.,). But while it is important to understand the reasons for the decline of multilateralism and globalisation, it matters even more that research look to formulating economic strategies to respond to these changes. What kinds of economic and security frameworks can form a foundation for the new global commons?

With a fragmented world economy, global demand becomes inelastic. Policymaking that boosts the economy's supply side then does not create jobs or wealth; it raises unemployment. If economic efficiency and comparative advantage no longer serve as guides, what should be the new rulebook for economic growth and development?

The analysis to be further researched here can be summarised in the meta-hypothesis that the rules-based multilateral order and the international global economy have been hit by three shocks: First, the "China Shock"; second, the "US Shock"; and third, the "Multilateralism Shock".

The China Shock reasoning draws, obviously, from the influential work of Autor, Dorn, and Hanson (2013, 2016), from which emerged the term's modern use. That work examined how in advanced economies, the import competition due to China's manufacturing prowess led to permanent reductions in employment. Since then the hypothesis has been used to examine the experiences of emerging

economies (Costa, Garred, and Pessoa, 2016) and appears in public discourse and policy discussions in Southeast Asia (Raychaudhuri, 2025).⁷

Quah (2025a,c,g, 2026a,d) introduced the idea that, in parallel with the China Shock, the rest of the world has also experienced as US Shock. If the China Shock is a supply shock, the US Shock is usefully viewed as a demand shock, one that has reduced at the margin the normal state of global demand faced by exporters around the world.

Finally, it is useful to summarise the collection of disturbances described in Armstrong and Quah (2026), Georgieva (2023), Gopinath (2024), and Quah (2025b,e, 2026b,d) and, earlier, Gaspar, Hagan, and Obstfeld (2018) and Obstfeld (2020, 2024) as a Multilateralism Shock. These describe how the disruption in the global system is general, not just confined to US-China rivalry.

4.2 Smaller-State Best Responses and Systemic Outcomes

The previous discussion gives rise naturally to a number of themes or issue clusters that can help guide the Initiative's research and policy engagements.

4.2.1 Forms of Economic Diplomacy

The first theme is to understand the range of forms economic diplomacy can assume. A possible starting point for such investigation is to hypothesise that small-state economic diplomacy can only take a mix of three possible forms: align; acquiesce; or adapt and mitigate (AAA) (Quah, 2025a,c,g, 2026a; Quah and Ng, 2026).

Alignment means a smaller state taking sides, or more generally, accepting the bundles of attributes—trade and technology in particular—offered by a small set of Great Powers. Acquiescence means taking actions to placate major powers, in an effort to stabilize the international space available to the smaller state. Adaptation and mitigation seek to, respectively, minimise the symptoms and treat the causes of major power disruption.⁸

Does AAA span the space of smaller states' best-response feasible strategies? These three broad strategies usefully catalogue and organise a wide range of alternative smaller-state actions, but more research is needed to understand their

⁷To be clear, Costa, Garred, and Pessoa (2016) find for Brazil that in addition to the usual China Shock contractionary impact, expansionary effects are significant from the increased demand due to trade with China.

⁸Baldwin (2025) describes how Trump's trade disruptions were, as in a poker game, called out as a bluff by other nations, many of whom continued to see gain in the open, multilateral, rules-based order. This is a concrete instance of the mitigation that gives rise to what is called a "G-minus" world in Quah (2025a,c,g, 2026a). Section 9 takes this further and describes additional research needed.

range, effectiveness, and feasibility. Taken together, AAA plus extensions can form a valuable handbook of smaller state strategies. Item 2 in Section 9 discusses AAA further and, in particular, considers extensions to be studied in the course of the research project.

4.2.2 New Production Structures

The second principal theme is how smaller states can best reorganize their production structures, both internally and in networks. In the globalized, multilateral system, history shows that the optimal forms are global supply chains. What is the counterpart to these production forms in a global economy that no longer provides for multilateralism? Trade drawing on the usual comparative advantage reasons can worsen income inequality, and thus endogenously undermine domestic support for international exchange. Can new forms of cross-country production prevent such deterioration in incentives for trading nations to support multilateralism? Section 4.2.2 discusses one leading possibility in this regard but the initiative will consider yet others in the course of the research.

4.2.3 Intertwined Domestic and Foreign Policy

A third cluster of issues that emerges from the discussion is the interaction between domestic economic circumstances and foreign strategy.

Part of why advanced nations grew disenchanted with globalisation and multilateralism is their experience with rising income inequality and reduced social mobility as trade advanced. In some economies this is captured by the idea of the China Shock, the hypothesis that China's manufacturing prowess (and the charge of state intervention) tilted the playing field. The US in particular has taken this to heart and turned to measures of bilateral trade balance as indicators of whether trade worked against it.

In this thinking, it is less relevant whether trade imbalances arise because of government actions on subsidies and industries (the usual charge on the China Shock) or for macroeconomic reasons of aggregate savings and investment (Gourinchas, Pazarbasioglu, Srinivasan, and Valdes, 2024). Despite conventional understanding, while a convenient target, trade imbalances might not even be really needed as the statistics driving China-shock anxiety. Sufficient cause could already be found in relative prices that turn out different enough from expectation and norm, regardless of whether the trade balance is in deficit or surplus. (see, e.g., Fig. 5.1 in Quah, 2026b).

Such narratives set domestic stakeholders against the previous rules-based order of globalization and multilateralism, and allow political leadership to emphasise unfavourable cost-benefit ratios to that nation's participation in the in-

ternational system. This does not overturn the theory of comparative advantage, but instead accentuates unfair distribution of gains across winners and losers within a nation. Even as consumers benefit from trade, segments of the working population, business, and industry experience loss. The resulting rise of populism makes that nation averse to supporting the traditional rules-based order.

But how do the different forces rank in strength? What can domestic political debate do to help or worsen the situation? What political narratives can help improve efficiency and resilience? How can activist industrial policy in smaller states adjust those states' comparative advantage profiles—otherwise determined by just geography and endowment—in an international trading system sensitised to accusations of unfair exchange? Should smaller states run policies on domestic production to better complement major powers' industrial profiles?

4.2.4 New Forms of Order

Finally, a fourth theme is to the question of new forms of world and regional order that might emerge.

If across nations, some continue to see the benefits of rules-based trade, but others do not, will the international community fragment into different spheres of engagement? What is the role of regional blocs such as ASEAN or trade groupings such as CPTPP or RCEP in advancing a new world order? Is a so-called **G-minus** world possible, that excludes those nations—such as the US—that feel they no longer benefit from a rules-based order of globalization and multilateralism?

If the old rules of globalization and multilateralism no longer apply, what new ones might help stabilize regional or plurilateral orders? Will states be able to cooperate without a global hegemon enforcing rules and order? Ideas surrounding so-called *inadvertent cooperation* suggest this might be possible, although the mechanisms that make this hypothetical possibility work have not yet been rigorously studied.

5 An Economic Diplomacy Initiative at LKYSPP

Section 4 can be viewed as just a workplan for an individual researcher. But the volume of research and its attendant policy implications will see its impact multiplied if it becomes the core of a new thinktank or research centre. This last is what this Section now turns to.

The core of this work is economic relations between states, with primary focus the representative small state. This proposal steps outside the traditional concerns of economic statecraft, or the use in major powers of economic instru-

ments to achieve foreign policy goals. Included in the work, nonetheless, is the need for leadership and coalition-formation, typically considered the domain of only so-called middle powers. Foreign policy goals in general can be aggressive or accommodating, imperialistic or mitigating.

To improve our understanding of economic diplomacy, the research needs to combine modern game theory, historical narrative, and data analytics. A first workstream, therefore, is to develop rigorous, empirically-grounded models of economic diplomacy, describing the menu of strategies available to small states (and middle powers). Included in this will be models of multilateralism, not taking the so-called international rules of the game as given, but where inadvertent cooperation, incentive-compatible coalitions, and pathfinder plurilateralisms and multilateralisms can be analysed to emerge endogenously.

But such a line of attack focusing on grand strategy can end up overly detached from the microeconomic realities of resilience and infrastructure, productivity and innovation, and production networks. Thus, a second workstream will be needed to provide data-based analyses of new microeconomic models of trade and production networks (or perhaps production syndicates), where populism and nationalism, and income inequality and social mobility, or national political economy more generally, are brought into greater focus, given how traditional assumptions of globalization and multilateralism are no longer available.

1. The causes for the breakdown of globalization and multilateralism can be explored in greater detail, by multiple researchers. This would allow either strengthening or rejection of hypotheses such as developed in Quah (2025b, 2026b), where geopolitical and global economic forces are described to align, both when the rules-based multilateral order was being built and when it was fragmenting. Research by econometricians, historians, and international relations scholars would help firm up our understanding of the 20th-century rise and fall of multilateralism. Clusters 4.2.1, 4.2.4.
2. Strategic analysis is a central part of economic statecraft. Alignment, acquiescence, and adaptation and mitigation—as described in Section 4.2.1—provide a platform that can be extended and refined. If alignment is a vertical or hierarchical commitment, horizontal or peer relations are also available: these will entail coalition formation among smaller states, potentially on lines of specific interests rather than bundled alignment. These coalitions can be incentive-compatible, rules-based, experiments in multilateralism without the need for major power leadership. Such groupings allow smaller states to step away as much as possible from major power rivalry or major powers generally as determining factors for their economic security. Next, while acquiescence can be considered tactical de-escalation, proactive intermediation can instead move the smaller state in the opposite direction and place it in a position of economic essential-

ity and value to major powers. Since the smaller state cannot be large, it can seek instead to be economically necessary. Finally, adaptation and mitigation—although different in character—share the feature that they take major powers actions as central in smaller states’ policies, and seek resilience against those actions. Instead, smaller powers could look to reshape the game altogether through institutionalising new economic norms and production organisation. Beginning with AAA and extending it provide a catalogue of strategic pathways that combine economics and international relations that can usefully extend the menu of economic statecraft for small states. Clusters 4.2.1, 4.2.4.

3. Political economy will provide a central set of tools in this investigation. How do the external pressures emerging from globalization and multilateralism interact with domestic institutions—bureaucracies, financial organizations, political connections—to help shape economic outcomes? How do these interplay of forces and incentives vary across political systems and stages of economic development? Firms and bureaucracies can be usefully surveyed to shed light on how domestic constraints engage with geopolitical risks, and how in turn domestic engagement can inform national economic and security strategies of alignment, acquiescence, and adaptation and mitigation. How much has blaming foreign trading nations substituted for within-country redistribution policies? Clusters 4.2.1, 4.2.3.
4. If economic security is a candidate to replace economic efficiency and comparative as one of the central organising planks of new trade agreements, how exactly do different governments and policymakers conceptualize and frame economic security? Earlier this writeup remarked economic security means protection against both natural events and intentional acts. A valuable initial line of policymaker engagement can be to gather together a series of high-level practitioner, thinktank, and academic meetings to work out a common understanding on the boundaries of economic security. Parallel work can proceed using machine analysis of statements by ministries across geographies. All this will, potentially, reveal the convergence and divergence of understanding. This will improve identification of coalitions of the willing that can form new multilateral-principled groupings. Clusters 4.2.2, 4.2.4.
5. How does the China Shock allocate gains and losses across consumers and producers? Almost all the policy focus has been on job destruction and local industry competition. This is right as those have been both economically vulnerable but politically pivotal. But a fuller picture is needed for more coherent policymaking. Can ASEAN nations and other small states evade the political quandry in which the US finds itself, where the MAGA movement obviously draws fuel not only from the China Shock itself but

from extending the logic to all trade generally? Those who believe still in free and fair trade according to WTO rules do not, at this point, have as ready access to a full picture of the gains and losses from trade. A thinktank in ASEAN where rigorous analysis comparable to that in Autor, Dorn, and Hanson (2016) and Kennedy and Mazzocco (2022) would help economic diplomacy in this part of the world. Clusters 4.2.2, 4.2.3.

6. What are the distributional effects of regional supply chains? The impact of trade on income distribution has been the subject of extensive empirical analysis (Rodrik, 2024). Comparable investigation is needed, not just for supply chains generally, for those in the Asian region in particular. This is critical for understanding how new production structures might be more robustly designed. Clusters 4.2.2, 4.2.3.
7. The work on helping better understand the distributional challenges and opportunities to trade or to cross-nation supply-chain syndicate production has important consequences for policy on social mobility and income inequality, following, e.g. the hypotheses developed in Quah (2025f). Thus the work on economic diplomacy in such a thinktank should also connect to social mobility within societies. Clusters 4.2.2, 4.2.3.
8. Understanding the causes behind the rise and fall of the multilateral international economic system is of not only scholarly interest. That understanding will help build new multilateralisms. These last might take the form of plurilateral groupings, regional organizations (Herz and Ho, 2026), or yet other incentive-compatible coalitions (Quah, 2025b,e, 2026e). These can then lead to practical economic diplomacy helping build regional or plurilateral groupings that mitigate the destructive impacts of global economic fragmentation. The work should also critically evaluate the natural tendency to view middle powers to provide leadership in a new world order (Russell, 2025). My working conjecture is that leadership in new multilateralisms will need to escape the hierarchy of power but draw instead on states' intelligence, networking, and agility. These are as much the domain of small states as they are of large ones (Quah, 2025g). Clusters 4.2.1, 4.2.4
9. Economic development has in research and policy most recently focused on capacity-building. Intervention programs to improve health, basic skills, and participation have been a central focus, both for evaluation and in implementation. The implicit assumption is that demand is always ready to pick up whatever additional output is generated by improvement on an economy's supply side. In the traditional thinking, the further implicit assumption is that if domestic demand is not forthcoming, external global demand is elastic. This indeed was the development model practiced in China, Singapore, and elsewhere—and significantly in economies both large

and small in population. However, today, the international economic system no longer follows the principles of globalization and multilateralism, but instead comprises nations that are narrowly self-seeking and protectionist. This breaks the development model's implicit assumptions: boosting the supply side then no longer creates jobs and adds value. It only increases unemployment (Quah, 2026c). What new rulebook do development practitioners need when it is economic diplomacy that matters critically? Clusters 4.2.2, 4.2.4

10. Such a change in the international environment has consequences on financial markets. Developing country debt undertaken when the international environment made profitable investments in capacity-building will decline sharply in value when global demand becomes inelastic. Developing nations will then find more difficult debt servicing and repayment, thus worsening the problem of international indebtedness. But more than this passive reaction, there is an important active dimension. The global hegemon routinely practices economic statecraft through weaponizing the international financial system and, in particular, leveraging the power of its money supply in the form of the world reserve currency. What options does the rest of the world have to improve resilience in such an international system? Clusters 4.2.2, 4.2.3
11. Disruption in the global order and a fraying of multilateralism, all else equal, mean reduced trust and consensus across nations. Collective goods provision will, therefore, inevitably falter. Besides the international trading system, perhaps the most urgent need for trust and cooperation lies in the need to combat climate change. A just transition for mitigating global climate change was always going to be challenging, even in a world where nations followed enlightened self-interest (Saran and Quah, 2024). This is because such a crisis satisfies the conditions of the so-called tragedy of the commons. With the fraying of multilateralism, the challenge becomes orders of magnitude more daunting. Shrinking national budgets threaten global climate finance. Trade tensions raise decarbonization costs. Protectionism raise obstacles to the diffusion of green technology. Just as cooperation is needed most, the geopolitical system has turned out to be the least willing to supply the required coordination. Humanity will be less willing to bear the cost of mitigating the climate crisis if it means immediately lowering its standard of living, especially those who are already suffering from under-development. The Global South might have seen a way to be green but also continue to rise if clean energy sources were more widely available. Electric vehicles, solar panels, wind turbines, and batteries might have offered some respite but, because of the dual-use nature of these technologies, these also happen to be a focus of geopolitical rivalry

in the form of techno-nationalism. Without under-estimating the engineering challenge of making available affordable green energy, economic diplomacy will matter critically for enabling a just transition in the global climate crisis. Can smaller states step up efforts to replace in part the withdrawal of major powers from cooperation in addressing the global climate crisis, and have impact in global climate negotiations? Some optimism is possible, given how the Alliance of Small Island States, say, have successfully made more rigorous the emissions targets in the Kyoto Protocol and the Paris Agreement, helping establish the principle of “loss and damage”. But these steps can only go so far when major powers are in retreat from multilateral cooperation. What can smaller states do in adaptation and mitigation not just against global climate change but against that change working in tandem with a global order becoming more contested and less cooperative? Clusters 4.2.2, 4.2.3

12. Engagement with agencies and ministries, in Singapore and internationally.
 - (a) I have worked and consulted with groups in the World Bank, IMF, UNCTAD, RCEP, the ASEAN Economy Ministers Geoeconomics Task Force, PIIE, and a wide range of thinktanks, agencies, and Ministries in Singapore, including MTI, MOM, MSF, MOF, MAS, RSIS, SIIA, and others, on a range of these economic diplomacy questions. A strong initiative at LKYSPP will naturally draw also on, not just the Economics but also the International Relations scholarship in the School’s faculty generally and the Centre for Asia and Globalisation in particular. All these work on the general questions articulated above but none yet do so under an organising structure of economic diplomacy as I have described. ACI’s work with MTI has historically featured more the “I” or industry part of the Ministry. What I propose in economic diplomacy turns to the Ministry’s “T” or trade part. Taken all together, a strong Singapore-centreed research and policy group can be built at LKYSPP around the challenge of economic diplomacy.
 - (b) Other institutions and initiatives around the world have focused primarily on economic statecraft, not as much on economic diplomacy. These include the Peterson Institute of International Economics, the Belfer centre at Harvard Kennedy School (Economic Statecraft Initiative), Princeton University School of Public and International Affairs, Columbia University SIPA, Oxford University (Blavatnik School, China Centre), Yale University’s Jackson School of Global Affairs, the Fletcher School at Tufts University (the Hitachi centre), the Council on Foreign Relations, the Brookings Institution, the centre for a New American Security, the Atlantic Council, Chatham House (Lon-

don), the Asia Global Institute (Hong Kong China), Renmin University School of Global and Area Studies, China Academy of Social Sciences Institute of World Economics and Politics (Beijing), the Institute for Geoeconomics (Tokyo), and Lowy Institute. Institutions undertaking work that is closest to the economic diplomacy narrative in this proposal include those in Switzerland (the University of St. Gallen, Global Trade Alerts), Indonesia (CSIS, PAFTAD), and Australia (ANU, again Lowy Institute). I already know well many of the principals at these institutions and plan to engage them in the ongoing workplans of this economic diplomacy initiative.

- (c) At the Hoover Institution for War, Revolution, and Peace, the newly-begun initiative to envision an Economic and Security Commons is a large and significant effort to surface ideas on a new world order. Princeton University has, since 2021, run a series of conferences organised around the theme [Reimagining World Order](#). LKYSPP's EDI will engage with these and other initiatives specifically on the role of smaller states. The PI for LKYSPP's EDI is already involved in collaborative efforts with these large, US-based initiatives. Other projects with related goals are the Geoeconomic Monitor, [The Global Capital Allocation Project](#) and the Columbia SIPA ([Economic Statecraft task-force](#)).
- (d) In Singapore, a number of other institutions do related work. SMU's [Centre for Research on International Trade](#) studies, as its name suggests, cross-country trade, with a focus on production networks and global value chains. It brings together expertise in microeconomic approaches to international trade, innovation, and labour economics. The sharpest difference from what is proposed here is this proposal's highlighting the relation between geopolitics, international relations, and international economics, whereas SMU's Centre focuses on more traditional, firm-level, production-based (infrastructure, networks, value chains, and disaggregated data) research. It is obviously critical to understand the micro-analytics, but at the same time, it is critical too to engage with the larger questions in geopolitics and disruption in world order. Our proposal brings the latter into the analysis. In our approach, geopolitics play as central a role as does micro-grounded, disaggregated data analysis.
- (e) At a different end of the range, NTU RSIS's [Centre for Multilateralism Studies](#) (CMS) considers, as the name again suggests, research on international political economy and multilateralism. CMS focuses on multilateralism in its different forms—economic, international political economy, and organizational. Even though the ultimate goal

of cooperation across nations is shared by both CMS and the current proposal, the argument we make is that multilateralism can no longer be taken as a given, not least as world order continues to evolve from its current disruptions. Certainly, our approach brings in ideas from economics more prominently than CMS emphasises. But where we differ most critically from CMS is that our approach does not presume multilateralism will continue to exist in a form that allows building cooperation as is historically possible. Instead, our approach considers the possibility that new forms of multilateralism might need to be analysed and built.

The way I see the work unfolding includes the following:

1. A core group of academics and researchers, working on blue-sky, innovative ideas on economic diplomacy. The output will be working papers and technical reports in the first instance, but all targeted for publication in top journals and as books in leading university presses.
2. Regular engagement with practitioners—Ministries, agencies, think-tanks—and public dissemination of findings. The initiative will need to have strong communicators who can speak in public and provide commentaries and op-eds on the ideas of economic diplomacy.
3. Short-term visiting fellowships for scholars and practitioners interested in economic diplomacy.
4. Specialized two-week training workshops for PhD and postgraduate students, providing both certification and tools for writing research papers on economic diplomacy.
5. Leadership workshops that provide economic diplomacy training to public officials.

Output will emerge on the first three of these items within 6–12 months. Training and leadership workshops should take place by within the first two years of operation.

I don't have a strong view on how this economic diplomacy initiative sits relative to ACI. It can be a second major part of what ACI already does, using the idea that there is just a single point of contact for institutionalized economics research at the School. Although I have only mentioned the School's Centre for Asia and Globalization (CAG) in passing, given the cross-over ideas in international economics and international relations drawn on in my conceptualization of economic diplomacy, this initiative could also become part of CAG, again keeping the single point of contact for institutionalized research on international affairs generally at the School. Alternatively, this economic diplomacy initiative could become a separate new thinktank at the School. But I think this only a remote possibility, not least for how considerable start-up cost would be needed. The advantage to this third strategy, however, is that ACI and CAG could continue

to preserve a clean identity in their traditional arcs of research and engagement, while this initiative carries forwards the ideas of economic diplomacy.

6 Preliminary Estimate of Project Timeline

I divide the project timeline into five years, organised around a goal of producing an Economic Diplomacy handbook, with accompanying conference event and journal article publication. Throughout this time, however, there are also leadership workshops and practitioner training that will both dry-run the ideas being produced in the research and gather practitioner insight to enrich the research.

1. Year 1: Organisation Foundation and Initial Output
 - (a) Launch of two primary workstreams: 1 rigorous models of economic diplomacy and multilateralism; 2 microeconomic models of trade and production networks
 - (b) Initial research: Rigorously quantify the SSS (“China Shock”, “US Shock”, “Multilateralism Shock”) perspective.
 - (c) Milestones 9–12 months: First set of working papers or technical reports. Submission of at least two articles to leading journals.
 - (d) Regular practitioner engagement with Singapore’s Ministry of Trade and Industry (MTI) and Ministry of Finance (MOF). Public dissemination of findings in op-eds and commentaries.
2. Year 2: Capacity Building and Strategic Refinement
 - (a) Short-term visiting fellowships for collaborators
 - (b) Strategic analysis. Deepen the AAA (“Align, Acquiesce, Adapt and Mitigate”) framework. Investigate national coalition-building and pathfinder experiments
 - (c) Extend practitioner engagement to officials at IMF, World Bank, WTO, and ADB.
 - (d) Revision (and resubmission as needed) of the first two articles already submitted.
 - (e) Submission of a further three articles at least to leading journals.
3. Year 3: Consolidation, Conference Organization
 - (a) Major Economic Diplomacy Institute Conference bringing together a dozen or so global experts. Synthesise research for conference volume that will take the form of an Economic Diplomacy handbook.
 - (b) Workshops. Leadership workshops and economic diplomacy training for public officials.
 - (c) Revision and (resubmission as needed) of the five articles already submitted.
 - (d) Submission of at least one more (the sixth) article to a leading jour-

nal.

4. Year 4: Completion and Promotion
 - (a) Confirm research completion: At least six journal articles in leading journals
 - (b) Finalise draft of Conference volume/Economic diplomacy handbook. Submit to leading university press.
 - (c) Revision and (resubmission as needed) of the articles already submitted.
 - (d) Policy training. Leadership workshops and economic diplomacy training for public officials drawing specifically on Economic diplomacy handbook. Greater focus on ASEAN officials as the principal ideas will have been tested out on Singaporean and global audiences.
5. Year 5: Institutionalization
 - (a) Launch and active promotion of Economic Diplomacy handbook for public officials and government agencies.
 - (b) Embed the Economic Diplomacy Initiative as a core pillar in a research centre for ongoing research-driven policy contributions.

7 Conclusion

This writeup has considered a potential new economics initiative at the Lee Kuan Yew School of Public Policy on Economic Diplomacy.

The motivating background is the fact that small open states now confront an international environment that is increasingly tentative, contested, and disrupted. The new world order is still being formed and its direction remains unclear still. But almost surely small states will not find it optimal to be only price- and rule-taking. Instead, strategies in economic diplomacy will need to be devised, that look to mitigation, coalition-formation, and norm-construction. This does not undermine traditional analyses of resilience, productivity and innovation, and networks and supply chains. But those latter will need to be re-centred alongside themes in geopolitics and international relations.

The proposal has described both justification and work program. It has, as a starting point, drawn heavily on my own research and policy-engagement instincts and interests. But then it also points the way forwards to a broader program of work for many more of the School's academics and practitioners. Such an initiative would bring together our School's faculty in Economics, International Relations, and Public Policy, as well as the broader community in Singapore of researchers and practitioners.

External circumstances in the world make compelling such an initiative at this time. An economic diplomacy thinktank or a research centre at our School

would fill a gap both in organizing and synergizing the current work at LKYSPP. Just as importantly, it would also add considerable value in the wider world of research scholarship and of research-driven policy engagement.

8 Annex to 1: Introduction

In scholarship in both Economics and International Relations, depending on context, researchers find it useful to leave ambiguous the definition of small states or small economies. For instance, in Economics, in, say, general equilibrium theory, the idea of agents sufficiently small to be “price-taking” is implicit: On the one hand such behaviour can simply be assumed as an analytical convenience but, on the other hand, for certain questions the sense in which agents are small can also rigorously studied and justified in terms of so-called atomless measure spaces of agents. Both approaches work. So too, in International Relations, small states can for analytical convenience be taken to be just all states that are not Great Powers. But, depending on context, small states might also need to be more precisely defined: what restrictions on their capabilities and resources make states small, and where should the threshold level be drawn exactly. In the remainder of this document, by small states I mean states that are not Great Powers—and so might be more usefully called “smaller states”. In certain settings, however, when useful I will also refer to Middle Powers, i.e., those smaller states that might conceivably be Great Powers, should circumstances change. What is more important in the discussion is the continuum of agency, capabilities, and resources that a particular state commands, rather than the discrete character of being small or not small. Again, therefore, I will say small states and smaller states interchangeably, and mean by these any state that is not a Great Power.

9 Annex to 4.2.1: Align; Acquiesce; Adapt and Mitigate

This Appendix provides more detail on the smaller-state strategies of alignment, acquiescence, and adaptation and mitigation.

Alignment, strictly speaking, means taking a side in a binary geopolitical decision. It is the easy answer to questions like, “We’re going to war. Who’s with us?”

If we visualise major powers as two abstract points and draw a straight line connecting them, then placing a Third Nation at either one of the endpoints represents perfect alignment with that particular major power. More generally, however, any location on that connecting line mathematically represents

distinct choices of balancing, hedging, and bandwagoning (e.g., Y.-F. Khong and Liow, 2025). All such strategies therefore are simply instances of generalised alignment. Specific instances of generalised alignment will be optimal when the geopolitical environment is zero-sum, so that any gain by one side is a loss for the other.

Generalized alignment bundles together choices about trade, technology, and security, thus forcing a single setting across what would otherwise be multiple degrees of freedom. An alignment setting should be relatively long-lived. Extreme short-term alignments with constant realignments are meaningless.

Acquiescence differs from alignment. It can be viewed instead as a specific form of appeasement. Acquiescence surfaces most obviously when a smaller state has to deal with a major power whose broader national objectives are unclear but has a high-profile, thin-skinned leader (say).

In this case acquiescence by a Third Nation can use cheap-talk signalling or high-visibility but ultimately low-substance actions—awarding a meaningless prize or building a project in the individual leader’s name—to draw a positive response from the major power.

But acquiescence can also be more substantive. For instance, Agreements on Reciprocal Trade (ART) signed in 2025 by a number of nations with the Trump administration agreed, in varying degrees, to align with the US on export controls and sanctions, to refrain from purchasing nuclear materials from US adversaries, and to submit to US regulatory oversight. Smaller nations offered generous concessions in an attempt to see if the US administration might have an elastic schedule of responses along which it might be convinced to relent into less draconian action. Evidence presented in Quah (2025g) on tariff outcomes following the US’s Liberation Day announcements suggests sharp limits to what acquiescence and appeasement can deliver for small states.

The goal here is to stabilize the Third Nation’s foreign policy environment without actually making enduring strategic commitments. While alignment is long-lived, acquiescence is immediate and short-term.

Adaptation and mitigation are strategies that draw on policies on the global climate crisis. They represent the most novel and proactive approach for smaller state. If alignment places a state somewhere on the straight line between major powers, adaptation and mitigation involve stepping off that line altogether, so that the smaller state seeks to reshape the external shocks, not just passively react to them.

Adaptation minimizes the *impacts* of shocks; it treats symptoms. If for the global climate crisis, adaptation has societies improve their water management or move their vulnerable populations to safer ground, then for economic diplomacy, examples can include developing a more resilient workforce and building more robust production infrastructure. The small state can shift the na-

tion's production landscape through industrial policy to have a more advantageous bargaining position relative others; increase the resilience of the nation's consumers; re-focus education from primary through both university levels and continuing education for the workforce; and facilitate training and cross-sector transition of vulnerable workers.

By contrast, mitigation targets the *causes* of shocks, reshaping the system to prevent disturbances from emerging in the first place. For the global climate crisis, mitigation means accelerating the transition to green energy, shifting out of hydrocarbons into renewables, and working to reducing emissions, then in economic diplomacy, examples would include forging new multilateral frameworks for trade, investment, and production. Such networking actions build credibility in international relations, making oneself essential to others and thus altering the cost-benefit calculations for anyone who might have wanted to harm that smaller state. By coming together in new coalitions of the willing, the impact of smaller states' stance on principles is magnified, a strategy that combines both adaptation and mitigation.

Mitigation shifts the focus of action from the power hierarchy to incentive compatibility. Rules-based trade, for instance, does not logically require a benevolent hegemon. Instead, it requires coalitions of the (literally) willing where no member of the coalition sees unilateral incentive to deviate from the rules. Recourse to leadership—be it of major or middle powers—is not a logical necessity, but instead indicative of a defect in mechanism design.

In sum, mitigation repudiates price-taking passivity. It seeks instead to strategically change the behaviour of a belligerent major power.⁹

More generally, all three strategies of alignment, acquiescence, and mitigation can be seen also to have echoes in Singapore's national defense strategy over time. That is a defense strategy that has evolved from a "poisonous shrimp" (as articulated originally by Lee Kuan Yew), through the "porcupine" stage (where the projection of the defense mechanisms extend out a further distance than under the poisonous-shrimp strategy), and then the "dolphin" stage, where agility and networking can synergistically raise the effectiveness and agency of small states.

Alignment and acquiescence are unilateral strategies for economic diplomacy. They are available to a nation regardless of what others around them do. Adaptation and mitigation, on the other hand, can be unilateral strategies or multilateral ones. In their multilateral versions, adaptation and mitigation can be deployed jointly by a network of smaller states in coordination, and thus made stronger and more resilient.

⁹As described earlier in fn. 8 this is the mechanism at work in Baldwin (2025) and Quah (2025a,c,g, 2026a).

10 Annex to 4.2.2: Cross-country Supply-chain Syndicates

An example of a multilateral mitigation strategy is a cross-country supply-chain syndicate that engages in profit-sharing, to mitigate the effects of creative destruction specific to individual nations. Consider the China Shock, the hypothesis that China's export prowess leads to permanent job losses and industrial decline in those nations that import from China. Previously this featured primarily in US political narrative (Autor, Dorn, and Hanson, 2016; Kennedy and Mazzocco, 2022). But more and more these ideas now appear in economic policymaking discussions in ASEAN and elsewhere as well. Even when the theory of comparative advantage applies, so that importing nations benefit on net—because their consumers now have access to high-quality goods at lower prices—re-distribution of the total gain never takes place. Under China Shock conditions, the job destruction that occurs impacts economically vulnerable but politically pivotal workers, worsening inequality. One possible way forwards is to move production from today's global supply chains to cross-country supply-chain syndicates that leverage production complementarities and profit-share appropriately: Doing so ameliorates inequality and job displacements along the value chain. But for this to succeed requires coordinated structural reforms that are directed to build international linkages—not just relentlessly raise one's own productivity. Thus, the international system needs a more strategic form of multilateral agreement than currently available. Such a multilateral understanding would draw on the same forces that appear in climate crisis discussions of “just transition” (Saran and Quah, 2024) or more generally aligning interests to build incentive-compatible multilateralisms (Quah, 2025b,e,g).

Large states can, on their own, potentially carry out all the actions just described for a cross-country supply-chain profit-sharing production syndicate. No such profit-sharing, however, has in reality ever occurred at scale. The US, throughout the period of hyperglobalization, could have reduced the negative effects of the China Shock, while continuing to reap the benefits of win-win comparative advantage. Through minimal tax-transfer schemes, US policymakers could have helped many of that nation's dislocated workers transition into new industries. But, because they failed to do so, the reallocation costs of the process of creative destruction fell disproportionately on America's working class, fuelling the rise of MAGA populism.

11 Annex to 4.2.3: Domestic Political Economy

How might domestic political institutions aggravate or relieve the pressures of participating in a rules-based international order that emphasises globalization and open trade? Bureaucratic incentives, domestic finance including banks, and political connections all help shape outcomes, and they respond to external economic pressures differently.

What pressures do such institutions place on national leadership? How do they constrain politically-acceptable actions in the face of international economic competition? As geopolitical challenges rise, how these domestic systems respond, and how do they affect national strategies of alignment, acquiescence, and mitigation?

12 Annex to 4.2.4: New Multilateralisms

When mitigation occurs in a group as economic diplomacy, a natural outcome is the formation of a plurilateral coalition. These coalitions become incentive-compatible groupings of like-minded nations, in theory more robust than groupings led by Middle Powers. This is because Middle Powers are, in effect, only Great Powers in-waiting, and the same cost-benefit calculations that have made Great Powers suspicious of multilateralism will, eventually, apply to Middle Powers as well.

Economic diplomacy can help to imagine and build such new world orders. For instance, a **G-minus** world might be viewed the natural limit point of the sequence of international communities that have gone from G20, G8, G7, G2, through G-zero. An example of a G-minus world would be a community of nations within which is a rules-based order but that excludes those who do not wish to obey those rules. Such a community would always welcome new members—so it is officially an open and inclusive coalition—as long as those potential entrants agree to comply with the rules that define the order.

However, the emergence of incentive-compatible multilateralism will not be automatic. The research ideas just described will need to be disseminated and communicated to academic counterparts and policymakers in other nations who collectively see benefit to a new economic diplomacy for a global economy that continues to become ever more fragmented.

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